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Title

2011 Full Year Roadshow

Page-text

Paul Bulcke
Chief Executive Officer

Page-text

Jim Singh
Chief Financial Officer

Page-text

Wan Ling Martello
Chief Financial Officer
Designate

Disclaimer

This presentation contains forward looking statements which reflect Management's current views and estimates. The forward looking statements involve certain risks and uncertainties that could cause actual results to differ materially from those contained in the forward looking statements. Potential risks and uncertainties include such factors as general economic conditions, foreign exchange fluctuations, competitive product and pricing pressures and regulatory developments.

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Jim Singh
Chief Financial Officer

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Delivering progress sustainably in a New Reality

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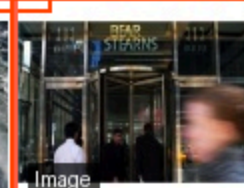
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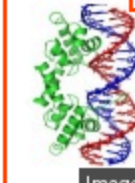


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2011 Full Year Results Roadshow

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2011: Strong Full Year Performance

Table

	As reported	At constant exchange rates
Sales	83.6 bn	
Organic Growth	+7.5%	
Real Internal Growth	+3.9%	
Trading Operating Profit	12.5 bn	
Trading Operating Profit Margin (vs. 2010 continuing operations)	15.0%	+60 bps
Net Profit (vs. 2010 continuing operations)	9.5 bn	+8.1%
Net Profit Margin (vs. 2010 continuing operations)	11.3%	+130 bps
Underlying EPS (Group)	3.08	+7.8%
Dividend (proposed)	1.95	+5.4%

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All figures in CHF

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2011 Full Year Results Roadshow

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Delivering the Nestlé Model in 2011

Table

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Former Nestlé Model

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Organic growth 5-6%

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Increased EBIT margin
in constant currencies

Obj-text

Improvement in capital efficiency

Obj-text

FY 2011

Obj-text

+7.5%

Obj-text

+10 bps

Obj-text

Enhanced Nestlé Model

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Organic growth 5-6%

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Increased trading operating
margin in constant currencies

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Increased underlying EPS
in constant FX

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Improvement in capital efficiency

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FY 2011

Obj-text

+7.5%

Obj-text

+90 bps

Obj-text

+7.8%

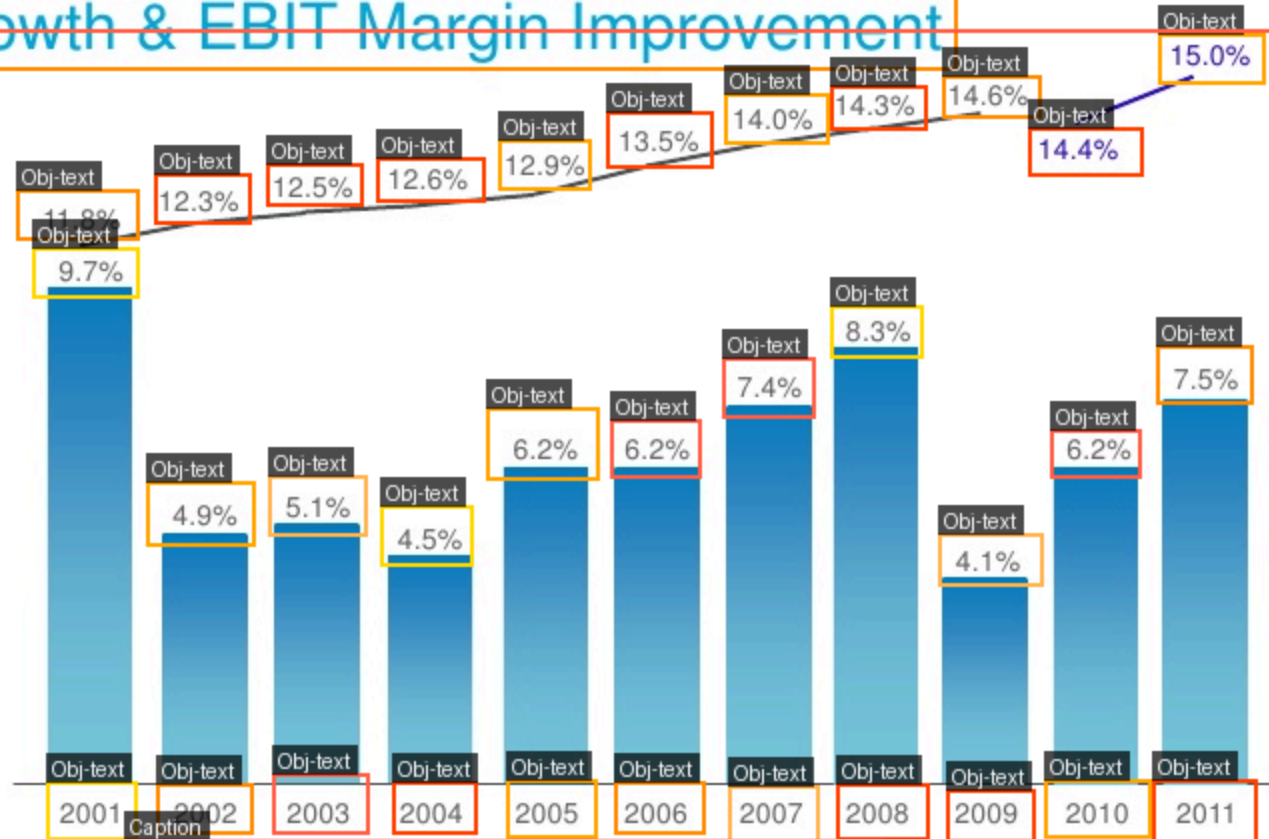
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10 years of the Nestlé Model

Figure

Driving Organic Growth & EBIT Margin Improvement



10-year annual averages

Organic Growth 6.4%

Real Internal Growth 3.6%

Organic Growth

EBIT margin *

TOP margin

Caption

* Before net trading items

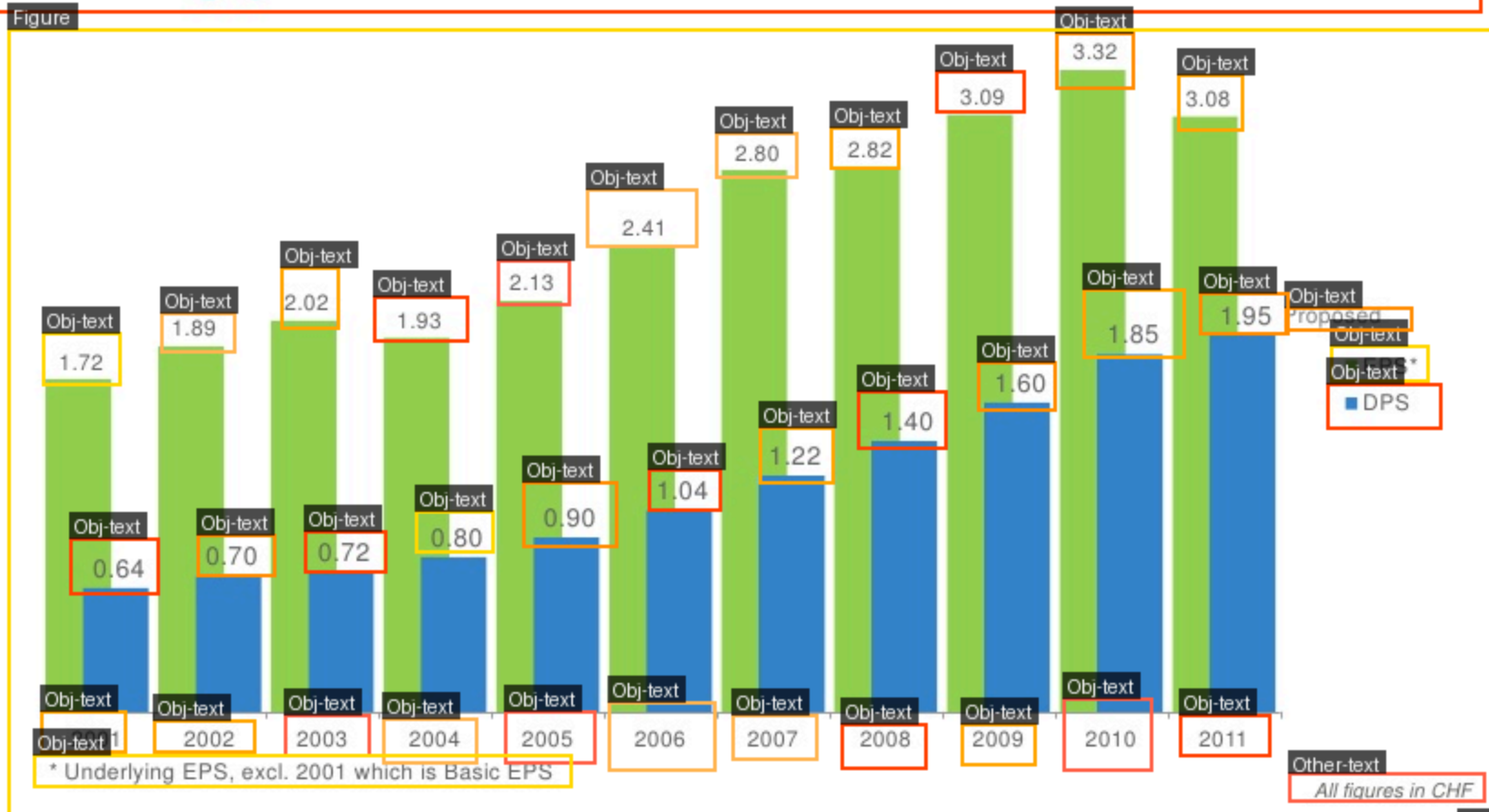
Data corresponds to published figures – not restated for accounting changes

Image



Enhancing performance – EPS and DPS evolution

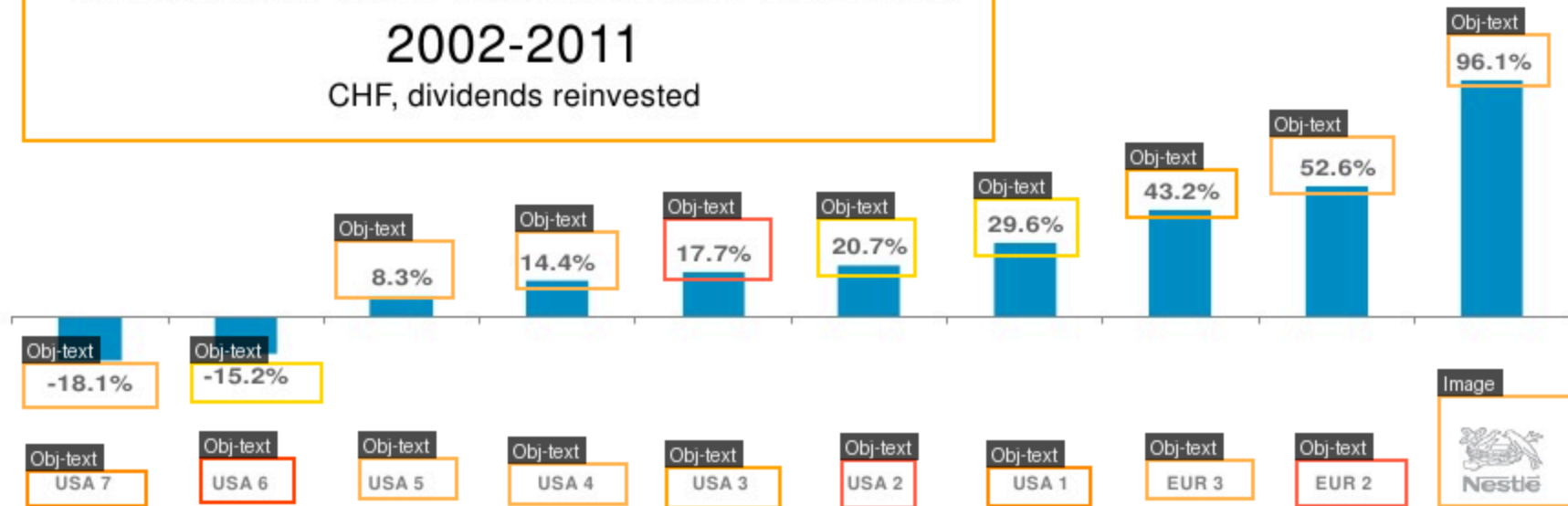
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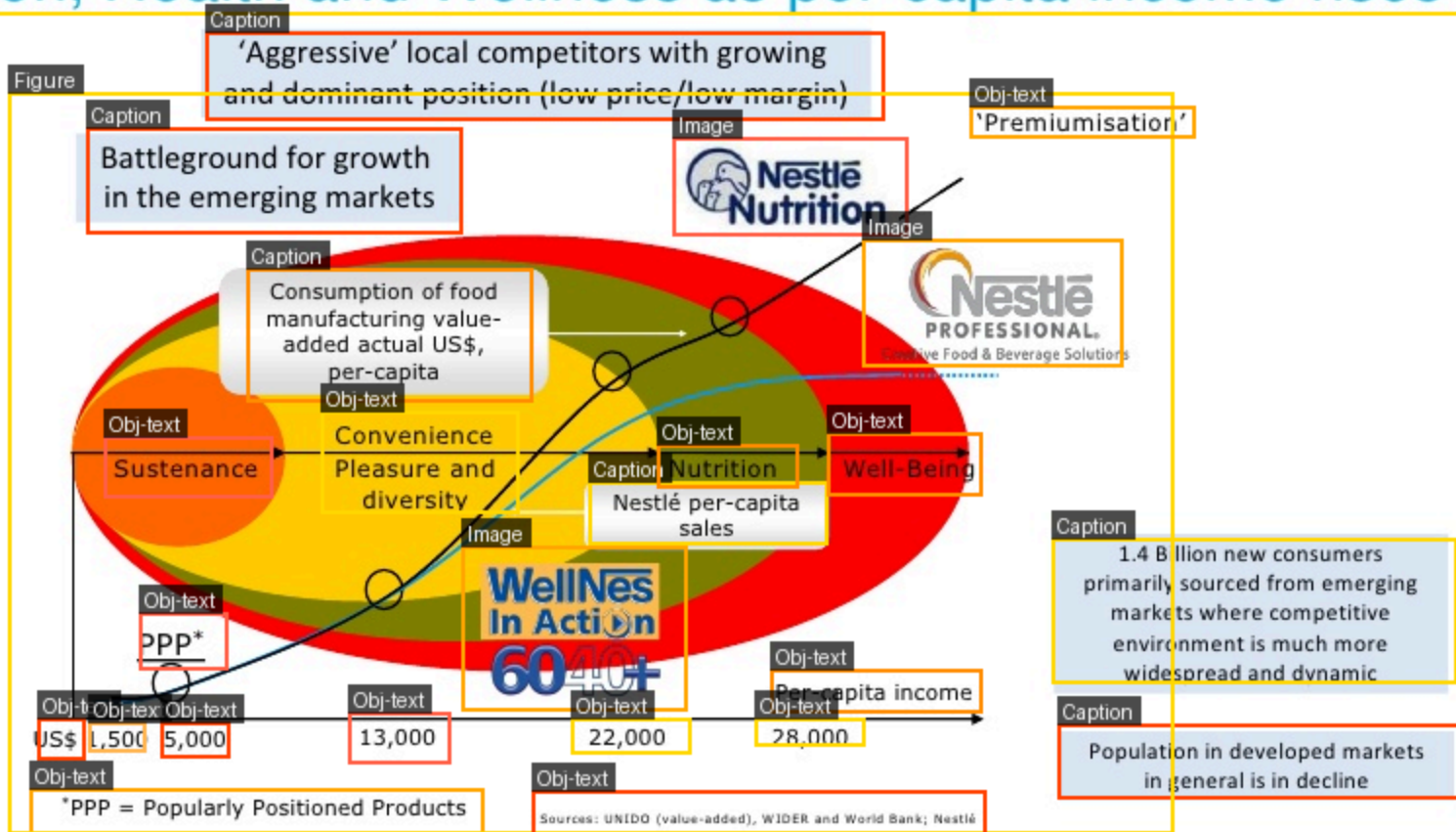
Nestlé SA Total Shareholder Returns 2002-2011

CHF, dividends reinvested

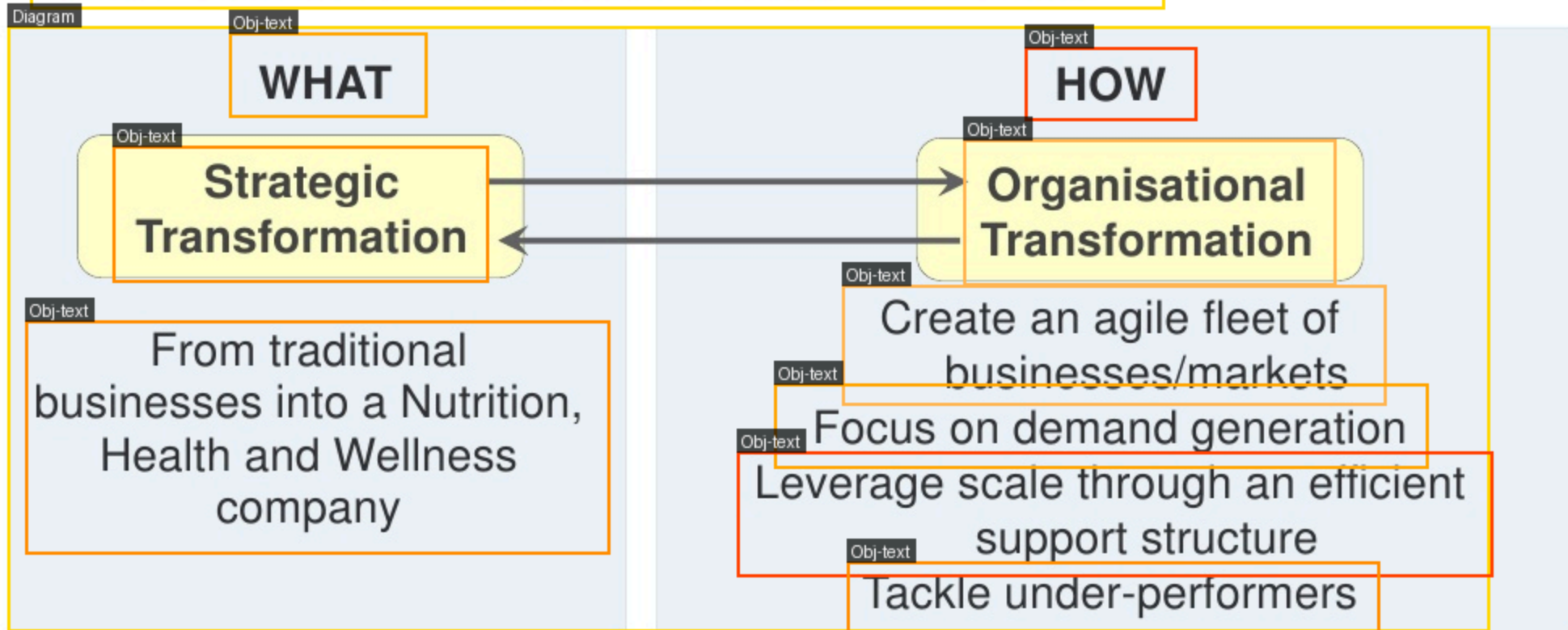


Source: Bloomberg

Growth opportunities – consumers increasingly focusing on Nutrition, Health and Wellness as per-capita income rises



The transformational opportunity



Image



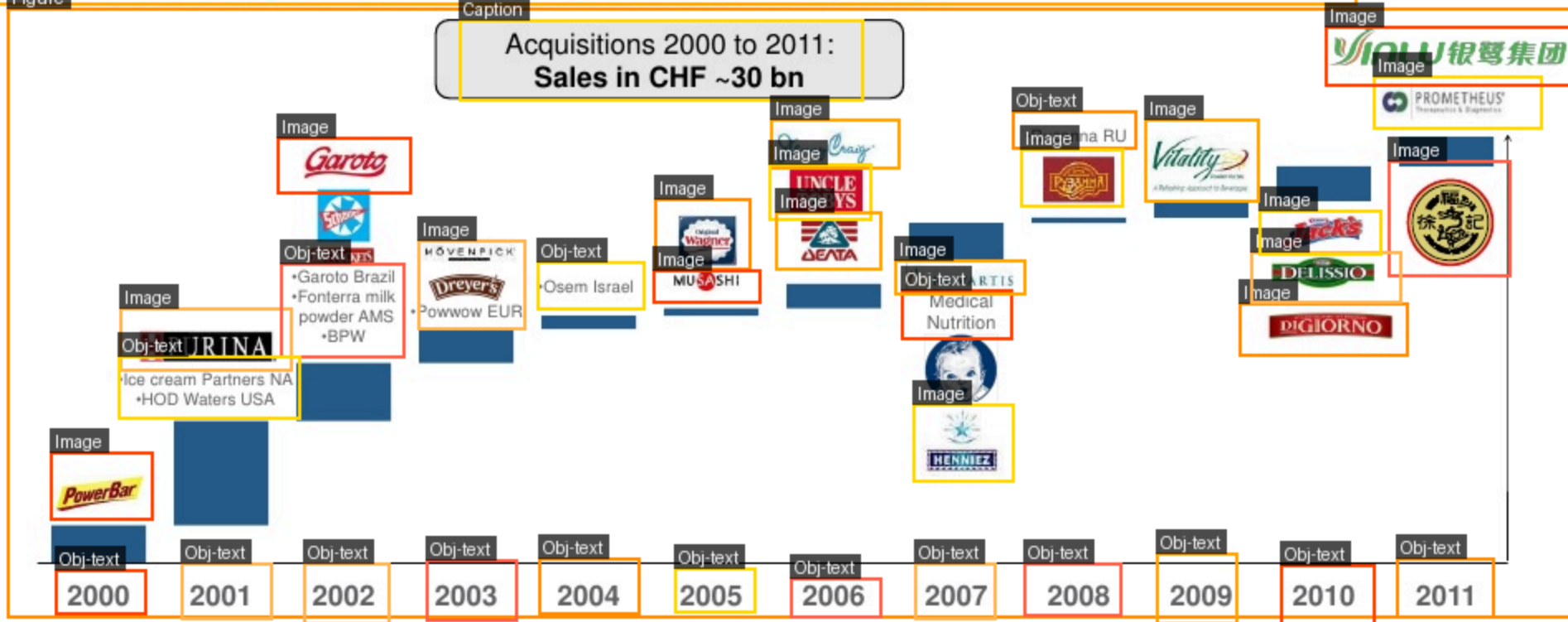
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Significant acquisitions added new growth platforms and strengthened market leadership

Figure

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Acquisitions 2000 to 2011:
Sales in CHF ~30 bn

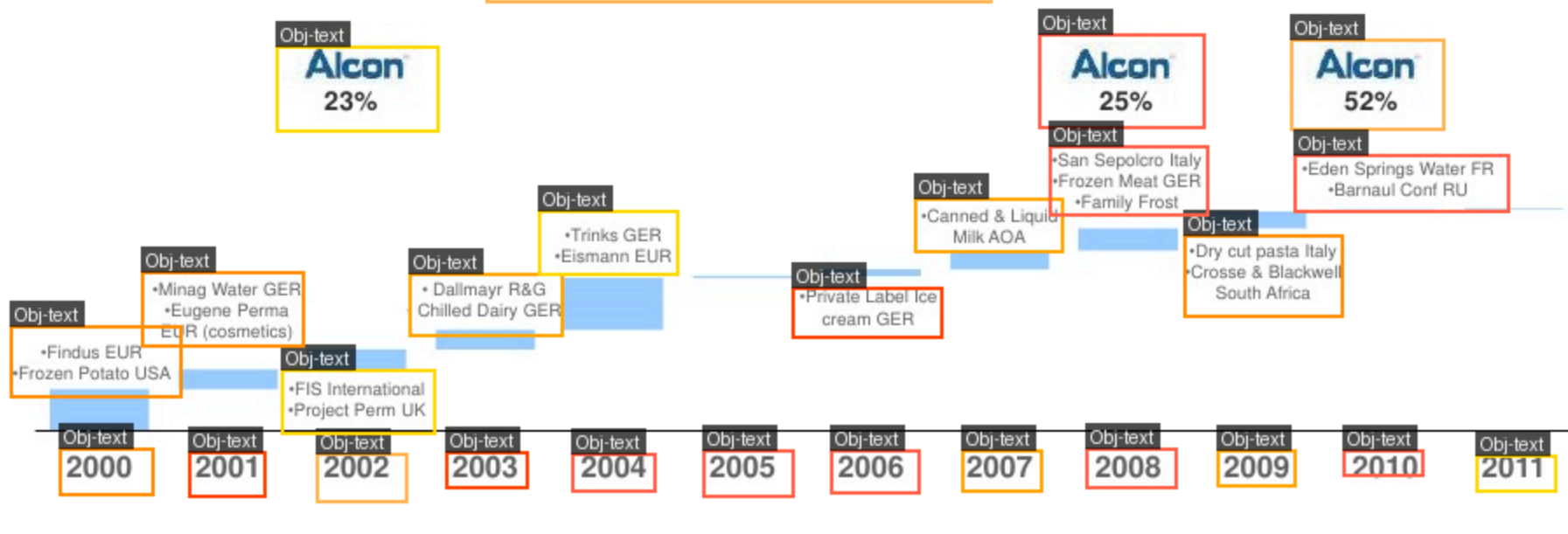


Significant divestitures rationalized the portfolio and eliminated non strategic and loss-making businesses

Figure

Caption

Divestitures 2000 to 2011:
Sales in CHF ~ -17 bn



Nestlé Innovation Territory: expanding to new dimensions



Capital expenditure driven by emerging markets, powdered beverages, nutrition and investments in capacity and new products & technology

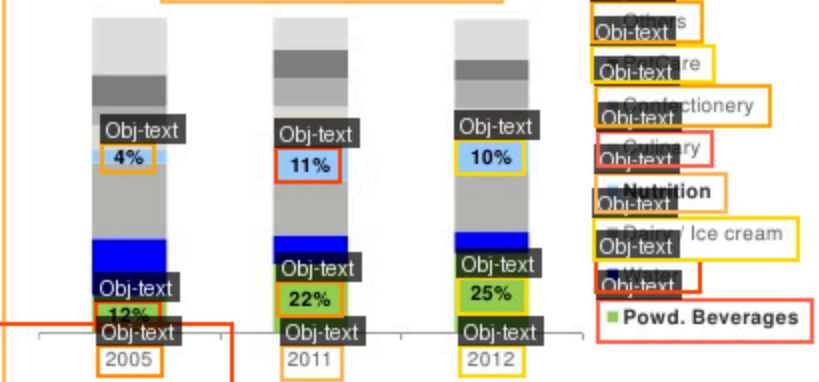
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Split by Region

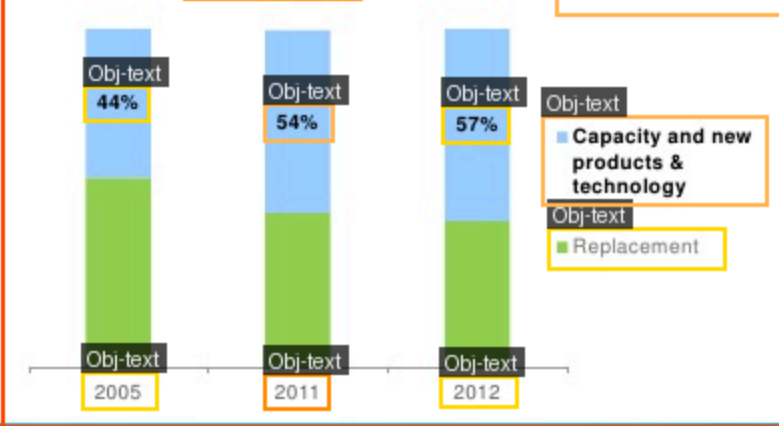


Figure

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Split by Product Category

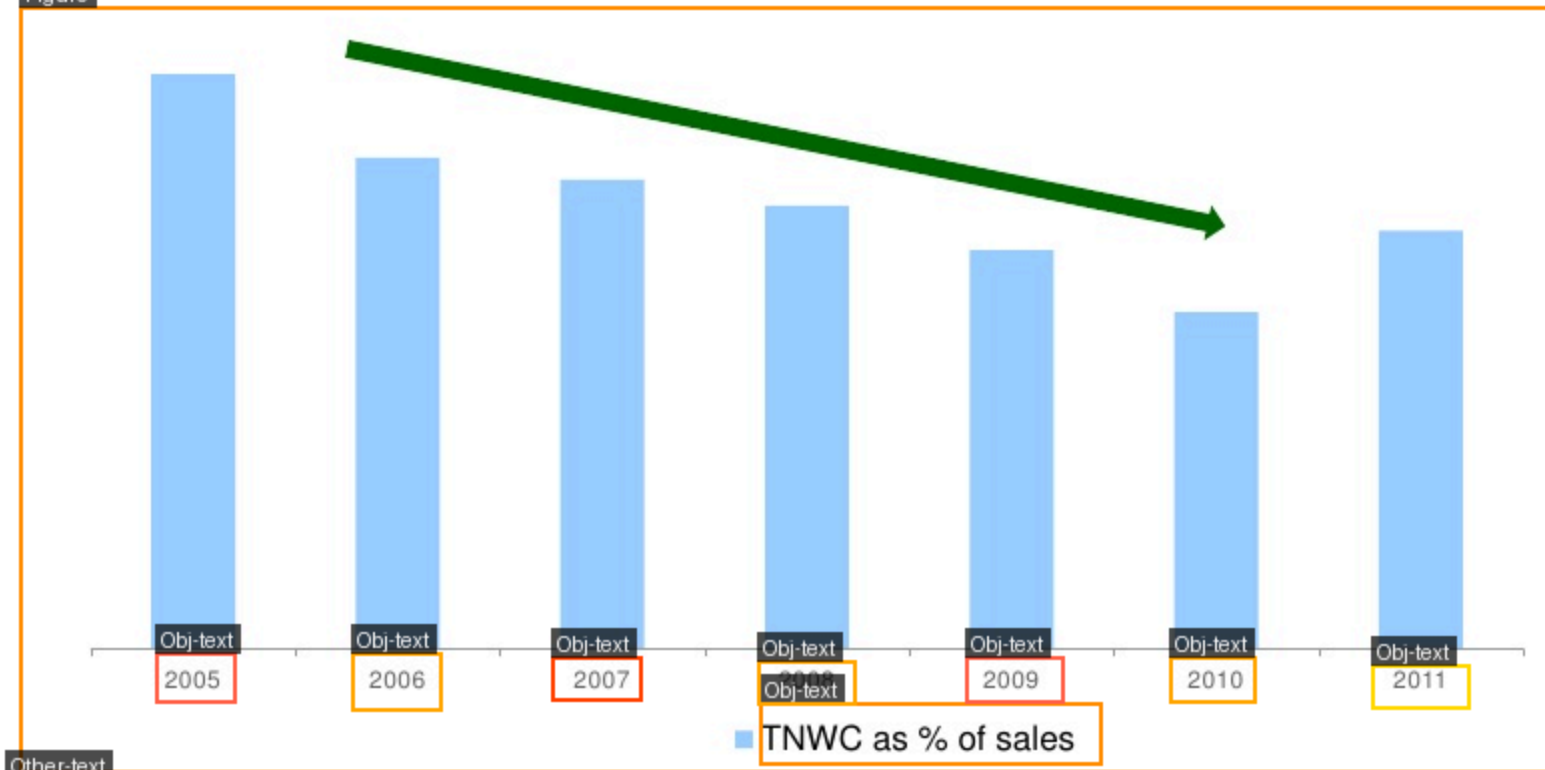


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Split by Type



Trade Net Working Capital is an area of focus and improvement

Figure



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Notes:

Like for like estimate

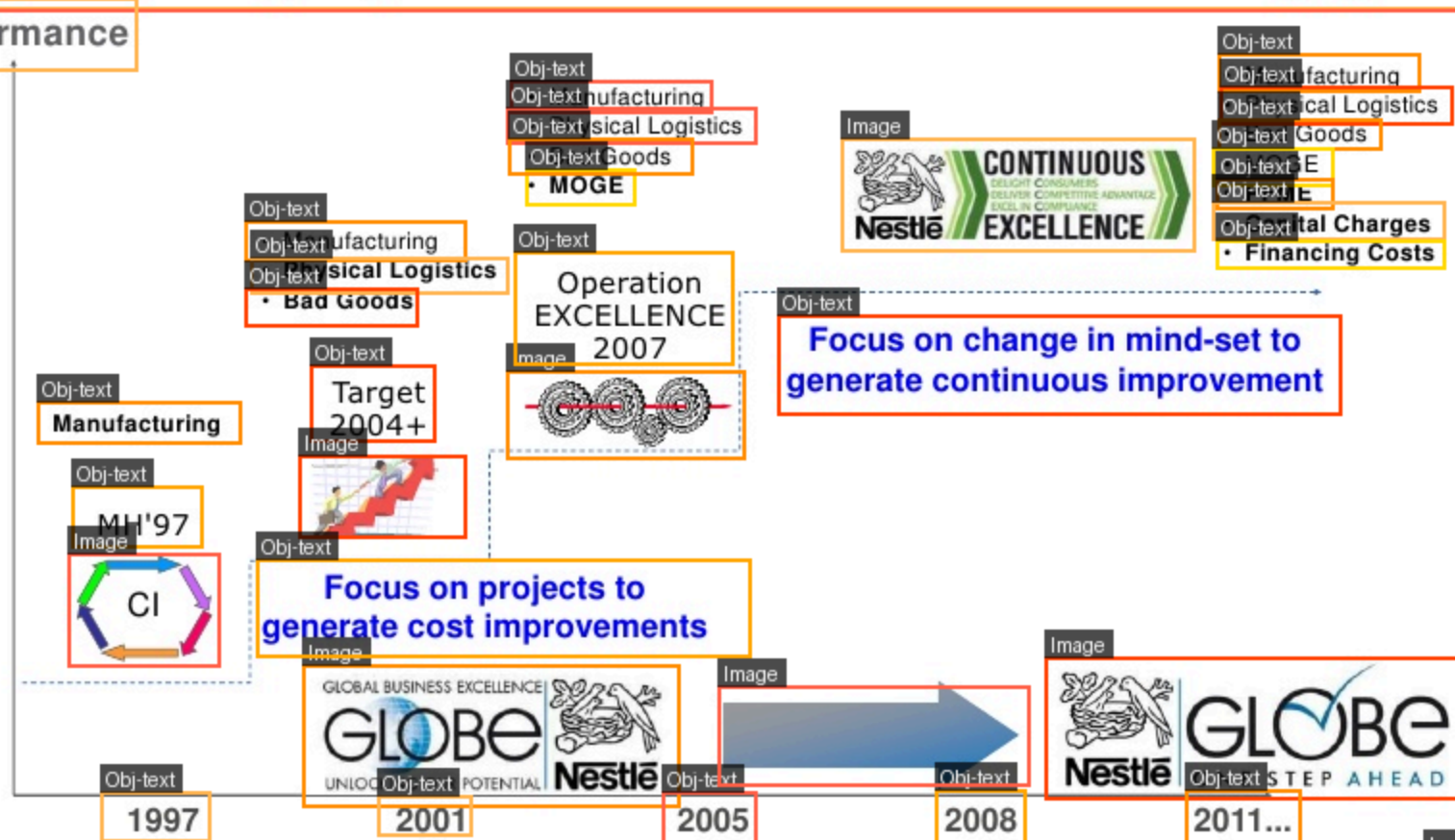
2010 and 2011 figures exclude Alcon, Hsu Fu Chi and Yinlu

Nestlé's Operational Efficiency

Delivering the highest quality, lowest cost & best customer service leveraging GLOBE

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Performance



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Obj-text Manufacturing

Obj-text Global Logistics

Obj-text Goods

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Obj-text Total Charges

• Financing Costs

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Focus on change in mind-set to generate continuous improvement

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Focus on projects to generate cost improvements

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1997

2001

2005

2008

2011...

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2011 Full Year Results Roadshow

The Nestlé Model

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- Organic growth 5-6%

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- Increased trading operating margin in constant currencies

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- Increased underlying EPS in constant currencies

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- Improvement in capital efficiency

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Paul Bulcke

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Chief Executive Officer

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The New Reality

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